human wants. The method of getting more is resorted to, rather than the method of wanting less.

- Economics is concerned with activities of human being only. Human beings are related to one another and the actions of one member affect those of the other members in the society. Hence, Economics is called a Human Science or Social Science.
- The activities of rational or normal human beings are the subject-matter of Economics.
- All human activities related to wealth constitute the subject-matter of Economics. Thus, human activities not related to wealth (non-economic activities) are not treated in Economics. For example, playing cricket for pleasure, mother's child care.

It is customary to clarify whether Economics is an art or a science; and if it is a science, to observe its specific features.

1.4.2 Economics is an Art and a Science

i. Economics as an Art

Art is the practical application of knowledge for achieving particular goals. Economics provides guidance to the solutions to all the economic problems.

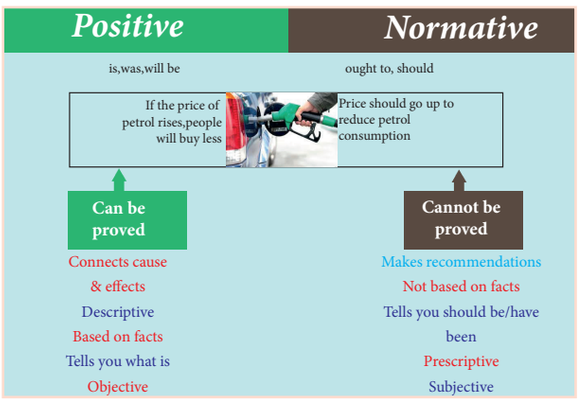
A. C. Pigou, Alfred Marshall and others regard Economics as an art.

ii. Economics as a Science

Science is a systematic study of knowledge. All its relevant facts are collected, classified and analyzed with its scale of measurement. Using these facts, science develops the co-relationship between cause and effect. Scientific laws derived are tested through experiments; and future predictions are made. These laws are universally applicable and accepted. Economists like Robbins, Jordon and Robertson argue that Economics is a science like Physics, Chemistry etc., since, it has several similar characteristics. Economics examines the relationships between the causes and the effects of the problems. Hence, it is rightly considered as both an art and a science. In fact, art and science are complementary to each other.

1.4.3 Economics: Positive Science and Normative Science

Positive science deals with what it is, means, it analyses a problem on the basis of facts and examines its causes. For example, at the time of a price increase, its causes are analysed.



On the other hand, normative science responds to a question like *what ought to be*. Here, the conclusions and results are not based on facts, but on different considerations belonging

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